

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v.

MSC MEDITERRANEAN SHIPPING COMPANY SA

COMPLAINANT MCS INDUSTRIES, INC.'S PETITION FOR ATTORNEYS' FEES

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Complainant MCS Industries, Inc. (“MCS Industries” or “Complainant”), by and through its undersigned counsel, respectfully submits this petition (the “Petition”), as the prevailing party in this action brought under 46 U.S.C. Section 41301 of the Shipping Act of 1984, as amended (the “Shipping Act”), for an award of its reasonable attorneys’ fees and costs of litigating this action from Respondent MSC Mediterranean Shipping Company SA (“Mediterranean” or “Respondent”) pursuant to 46 U.S.C. Section 41305(e) of the Shipping Act and Rule 254 of the Federal Maritime Commission’s (the “Commission” or “FMC”) Rules of Practice and Procedure (the “Rules”), 46 C.F.R. Section 502.254.

I. Relevant Procedural History

The procedural history of this action is already recounted in detail in the Commission’s January 3, 2024 and July 16, 2024 Orders (*see* Dkt. Nos. 68 & 78), and accordingly, Complainant will only briefly recount the relevant procedural history here. Complainant filed its initial Verified Complaint in this proceeding on July 28, 2021, alleging, *inter alia*, that the Respondent had violated the Shipping Act. *See* Dkt. No. 1. After Respondent filed its Verified Answer on August 26, 2021, *see* Dkt. No. 6, the parties proceeded to discovery. Respondent’s refusal to comply with its discovery obligations under the Commission’s Rules, *see, e.g.*, Dkt. Nos. 16–17, led Complainant to file a motion to compel Respondent to comply with Complainant’s discovery requests, *see* Dkt. Nos. 21–25, which the Presiding Officer granted on December 8, 2021. *See* Dkt. No. 27. Thereafter Respondent filed a belated motion to dismiss Complainant’s Verified Complaint, *see* Dkt. Nos. 31, 34, 36, which the Presiding Officer denied in its entirety, *see* Dkt. No. 37, and Complainant filed a motion for leave to file a Verified Amended Complaint, *see* Dkt. Nos. 32–33, which the Presiding Officer granted. *See* Dkt. No. 37. As Complainant has previously noted, *see* Dkt. No. 66 at 12–13, with the exception of the filings relating to those two motions, ***every filing in this proceeding*** since late November 2021 was a direct result of Respondent’s

failure to comply with its discovery obligations and refusal to comply with the Presiding Officer's orders:

- Complainant's Motion to Compel, Respondent's Opposition, and the Presiding Officer's Order Granting Motion to Compel (Dkt. Nos. 21–27).
- Documents relating to Swiss legal and discovery processes and the Letter of Request pursuant to the Hague Evidence Convention urged by Respondent (Dkt. Nos. 44, 47, 54, 59–63).
- Joint Status Reports addressing Respondent's failure to produce discovery, Swiss law issues, and the Hague Evidence Convention process (Dkt. Nos. 28, 35, 41, 43, 45, 48, 51).
- A revised scheduling order (Dkt. No. 42), an Order Requiring Joint Status Report suspending the case schedule (Dkt. No. 46), and a Notice of Extension of Time (Dkt. No. 49), all reflecting delays occasioned by Respondent's discovery delays.
- Respondent's unsuccessful Motion for an Extension of Time (Dkt. Nos. 52–53, 55).
- Filings relating to the Order to Show Cause (Dkt. 56–58).
- Filings relating to Respondent's unsuccessful exceptions to the Presiding Officer's orders (Dkt. Nos. 65–66, 76–77).

Ultimately, the Commission denied Respondent's exceptions to the Presiding Officer's Orders and affirmed the Presiding Officer's award of \$861,706.50 in reparations from Respondent to Complainant plus interest from July 31, 2021. *See* Dkt. No. 75 at 24 & Dkt. No. 78 at 38. Respondent petitioned the U.S. Court of Appeals for the District of Columbia Circuit (the "D.C. Circuit") for review of the Commission's decisions in this action, in which MCS Industries intervened as of right pursuant to 28 U.S.C. Section 2348 and Rule 15(d) of the Federal Rules of Appellate Procedure. *See MSC Mediterranean Shipping Co. S.A. v. FMC*, Nos. 24-1007 & 24-1262 (D.C. Cir.). The D.C. Circuit denied Respondent's petitions for review by Opinion and *per curiam* Order on June 24, 2025. *See* Dkt. Nos. 80–81. No petition for panel rehearing or rehearing *en banc* was filed with the D.C. Circuit, which accordingly issued its mandate on August 20, 2025. *See* Dkt. No. 82.

Commission Rule 254 requires that “[i]n order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final. For purposes of this section, a decision is considered final *when the time for seeking judicial review has expired or when a court appeal has terminated.*” 46 C.F.R. § 502.254 (emphasis added). Complainant understands that, in the absence of any petition for rehearing, motion for stay of mandate, or petition for a writ of certiorari to the U.S. Supreme Court, the D.C. Circuit’s issuance of its mandate on August 20, 2025 could be construed as having “terminated” the “court appeal” of the Commission’s decisions in this action as of the date of that mandate. However, Complainant also notes that, under U.S. Supreme Court Rule 13, the deadline for any petitions for a writ of certiorari to the U.S. Supreme Court in connection with the D.C. Circuit’s decision—“the time for seeking judicial review”—would not be until September 22, 2025 (i.e., 90 days after the D.C. Circuit’s June 24, 2025 entry of judgment). Recognizing that these procedural facts would entail inconsistent deadlines for the filing of this Petition (September 19, 2025 if based on the date the D.C. Circuit’s mandate was issued, October 22, 2025 if based on the expiration of the time for petitions for a writ of certiorari to be filed, or an indeterminate later date if any such petitions were actually filed), Complainant inquired with the Commission’s Secretary on September 16, 2025 about the applicable deadline. *See* Declaration of Matthew J. Reynolds (the “Reynolds Declaration”) Ex. 1 at 2–3 (filed herewith). On September 18, 2025, the Secretary responded:

Regarding your question about the deadline for filing a petition for attorney’s fees, the Office of the Secretary cannot provide any party with an interpretation of Commission Rule 254, 46 C.F.R. Section 502.254. If the party seeking to file such petition believes that the deadline could be interpreted in different ways, the filing party should exercise due diligence to file in a timely manner.

Id. Accordingly, out of an abundance of caution, Complainant is filing this Petition now, within 30 days after the D.C. Circuit issued its mandate.

II. Complainant Is Entitled to an Award of Its Reasonable Attorneys' Fees and Costs as the Prevailing Party in This Action.

The Shipping Act expressly provides that “[i]n any action brought under [46 U.S.C.] section 41301, the prevailing party may be awarded reasonable attorney fees” in addition to the reparations, interest, and other additional amounts provided by 46 U.S.C. Section 41305. 46 U.S.C. § 41305(e); *accord* 46 C.F.R. § 502.254(a). Commission Rule 254 prescribes the definitions, process, and contents for such petitions. *See* 46 C.F.R. § 502.254. As the Commission explained in its 2016 Final Rule amending, among other things, “its Rules of Practice and Procedure governing the award of attorney fees in Shipping Act complaint proceedings,” “a complainant would generally qualify as the ‘prevailing party’ in a Commission proceeding when the presiding officer awards reparations or issues a cease and desist order.” *See* Final Rule, Organization and Functions; Rules of Practice and Procedure; Attorney Fees, 81 Fed. Reg. 10508, 10508, 10512 (Mar. 1, 2016) (FMC Dkt. No. 15-06) (“Final Rule”); *accord Gruenberg-Reisner v. Overseas Moving Specialists d/b/a Int’l Sea & Air Shipping*, FMC Informal Dkt. No. 1947(I), 2017 WL 11886784, at *7 (FMC Small Claims Officer Nov. 3, 2017). MCS Industries, as the Complainant that was awarded \$861,706.50 in reparations plus interest from July 31, 2021 in this action, therefore clearly is the “prevailing party” in this action, and thus eligible to file this Petition under the Shipping Act and Commission Rules.

To merit an award of the attorneys’ fees and costs of litigation detailed herein, Complainant must establish its entitlement to those fees and costs by a preponderance of the evidence, documenting its attorneys’ appropriate hours and justifying the reasonableness of its attorneys’ rates. *See* 46 C.F.R. § 502.254(d); *accord Logfret, Inc. v. Kirsha, B. V.*, FMC Dkt. No. 18-10, 2020 WL 13512913, at *3, 2 F.M.C.2d 110, 113 (FMC June 22, 2020). In determining whether attorneys’ fees should be awarded, the Commission’s primary consideration is “whether such an

award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes.” *Logfret*, 2020 WL 13512913 at *4 (quoting Final Rule, 81 Fed. Reg. at 10509). Such factors include “frivolousness, objective unreasonableness (in the factual and legal components of a case), motivation, litigation misconduct, deterrence, and compensation.” *See* Statement of the Commission on Attorney Fees, FMC Dkt. No. 21-14, 2021 WL 9204127, at *2, 3 F.M.C.2d 195, 198 (FMC Dec. 28, 2021) (the “Statement”). Complainant addresses each of those factors below.

A. Respondent’s Swiss Law Excuses for Its Refusal to Comply with the Presiding Officer’s Orders Were Objectively Unreasonable and Frivolous in Light of Established Case Law and Demonstrated an Improper Motivation.

Respondent’s discovery misconduct, including its disregard of the Presiding Officer’s orders, need not be recounted in detail here because that very misconduct formed the basis for the award of reparations to Complainant in this action. However, it bears emphasis in connection with this Petition that the Swiss law excuse Respondent raised in this action was directly contrary to established federal case law and thus objectively unreasonable to the point of frivolity.¹

The Presiding Officer reviewed relevant federal case law addressing the provision of Swiss law that Respondent invoked, explaining that courts had concluded that the Swiss “‘statute does not preclude voluntary disclosure in compliance with a civil discovery order if’”, as in this action, “‘the consequence for noncompliance is procedural only.’” Dkt. No. 50 at 2 (quoting *Belparts*

¹ By contrast, Complainant’s Shipping Act claims in this action clearly were not frivolous or objectively unreasonable, as demonstrated by the Presiding Officer’s denial of Respondent’s belated motion to dismiss Complainant’s Verified Complaint, *see* Dkt. No. 37 at 4–10, and the Commission’s rejection of Respondent’s exceptions to that decision, concluding that “[t]he ALJ’s ultimate conclusions as to jurisdiction and the adequacy of MCS’s claims are affirmed.” Dkt. No. 68 at 11. Although the D.C. Circuit concluded that it did not need to reach the legal adequacy of all five counts of Complainant’s Amended Verified Complaint, it emphasized that “[t]he default judgment orders challenged here, and the reparations awarded, do not depend on the viability of individual counts” and that “there is no doubt in this case that counts I and V in the complaint involve matters distinctly within the sphere of expertise that Congress expected the Commission to apply to resolve complaints under the Act”, and consequently concluded “that the Commission properly exercised its jurisdiction over the proceedings below because counts I and V of the complaint concern matters that are particular to the Shipping Act.” Dkt. No. 81 at 22–23.

Grp., N.V. v. Belimo Automation AG, No. 3:21-cv-00334 (SALM), 2022 WL 1223018, at *5 (D. Conn. Apr. 26, 2022)); accord Dkt. No. 64 at 10; see also Dkt. No. 81 at 24–28 (D.C. Circuit concluding that Respondent forfeited its argument regarding the applicability of the Swiss statute involved but noting that “[t]he ALJ’s conclusion is bolstered by cases that further highlight the principle that the operative question is not whether disclosure might be unlawful, but rather whether there is any actual risk of prosecution.”).

The timing and context in which Respondent first raised its Swiss law excuse further confirm the frivolity of Respondent’s position and the improper motivation underlying it. When Complainant’s counsel specifically asked at the outset of discovery in this action about any Swiss law issues that might impact discovery, Respondent’s counsel said it was not aware of any, and Respondent only began to raise its Swiss law excuse *after* losing the motion to compel. See, e.g., Dkt. No. 41 at 7. Respondent could have voluntarily complied with its discovery obligations under the Rules and Complainant’s discovery requests without any Swiss law issues but instead chose to force Complainant to file and win the motion to compel. See, e.g., Dkt. No. 64 at 10. Moreover, at the very same time as Respondent was fighting against complying with its discovery obligations in this action, Respondent was producing discovery located in Switzerland *both before and after* a motion to compel with respect to discovery in another action pending before the Commission. See Raleigh Decl., *Intermodal Motor Carriers Conf. v. Ocean Carrier Equip. Mgmt. Ass’n, Inc.*, FMC Dkt. No. 20-14, 2021 WL 4287419, at *2 (FMC Sept. 14, 2021). This legal and procedural context shows that Respondent’s frivolous, objectively unreasonable arguments for its refusal to comply with the Presiding Officer’s orders in this action were motivated by gamesmanship and designed to defy its obligations under the Rules, flout the Commission’s jurisdiction, and thwart

Complainant's ability to prove its Shipping Act claims. An award of attorneys' fees and costs to Complainant is justified on this basis alone.

B. Respondent's Litigation Misconduct, Which Led Directly to the Reparations Award in This Action, Unduly Delayed and Derailed This Action and Forced Complainant to Incur Additional Fees and Costs.

As the Commission emphasized in its December 2021 Statement on Attorney Fees, “[k]nowing and repeated disregard of ALJ or Commission orders by a non-prevailing party . . . may give rise to attorney fee liability.” Statement, 2021 WL 9204127, at *3, 3 F.M.C.2d 195, 198. As noted above, this action was resolved by a decision on default due to Respondent's repeated failures to comply with its discovery obligations under the Commission's Rules and refusals to comply with the Presiding Officer's orders. *See* Dkt. No. 64. The Commission thereafter remanded this action to the Presiding Officer to determine, *inter alia*, whether the delay sanction described at 46 U.S.C. Section 41302(d) provided an ***additional*** basis for the Presiding Officer's decision on default against Respondent. *See* Dkt. No. 68 at 25–27. The Presiding Officer determined that its decision on default was, in fact, also justified under 46 U.S.C. Section 41302(d), *see* Dkt. No. 75 at 9, and the Commission affirmed that conclusion, *see* Dkt. No. 78 at 19–25, which Respondent did “not meaningfully challenge” in its petition for review by the D.C. Circuit, and “therefore forfeited any claim that this provision cannot justify the default judgment imposed here” Dkt. No. 81 at 34.

Complainant submits that this action is a perfect example of the kind of “[k]nowing and repeated disregard of ALJ or Commission orders by a non-prevailing party” that can, and should, “give rise to attorney fee liability.” Statement, 2021 WL 9204127, at *3, 3 F.M.C.2d 195, 198. As detailed above, all but a handful of the filings in this action since late November 2021 were a direct result of Respondent's failure to comply with its discovery obligations and refusal to comply with the Presiding Officer's orders, forcing Complainant to incur substantial attorneys' fees and

out-of-pocket expenses litigating the entirely avoidable issue of Respondent's non-compliance before the Presiding Officer, the Commission, and the D.C. Circuit.

C. An Award of Attorneys' Fees and Costs to Complainant Is Necessary to Deter Future Discovery Misconduct and Defiance of the Commission's Jurisdiction.

An award of attorneys' fees and costs to Complainant in this action would also advance the Commission's legitimate interest in deterrence with respect to both the discovery misconduct that led to the decision on default and the Shipping Act violations alleged in this action. As the D.C. Circuit summarized, "On this record, we hold that the Commission's interests in preserving the integrity of its procedures and in deterring similar dodging by the same or similar parties in the future justified the issuance of the default judgment." Dkt. No. 81 at 36. The same principle holds true with respect to an award of attorneys' fees and costs in this action. To the extent large, deep-pocketed regulated entities believe that they can avoid, preempt, or defeat meritorious Shipping Act claims from comparatively smaller shippers simply by stonewalling on discovery, thereby forcing shippers to incur substantial additional attorneys' fees, a fee award here would dispel such a belief.

Moreover, as alleged in its complaints, Complainant brought its claims because Respondent began a practice of systematically failing to allocate cargo space to Complainant between certain ports instead of honoring the pricing and minimum quantity commitments in its service contracts with Complainant during a period of unprecedented increases in spot market pricing for ocean freight, effectively forcing Complainant either to make alternative transportation arrangements with other carriers at skyrocketing spot market prices (in which case Respondent could then sell the cargo space that it was supposed to provide to Complainant to other shippers at higher prices) or pay Respondent ever-increasing "Peak Season Surcharges" just to get a portion

of the cargo space that it was already supposed to get under its service contracts. *See generally* Dkt. Nos. 1 & 38. Indeed, as the Presiding Officer emphasized in the Initial Decision on Default:

Moreover, the violations alleged in the amended complaint are of national significance, for example, that one of the largest container lines in the world “sought to take advantage of unprecedented high pricing by forcing shippers with service contracts, like Complainant, to resort to spot market purchases” by the “practice of systematically failing to meet its quantity commitments to Complainant between certain ports.” Amended Complaint at 1-2. Resolution of these allegations would provide clarity and guidance in the marketplace and benefit not just these parties, but also the shipping public.

Dkt. No. 64 at 21–22. Again, to the extent large, deep-pocketed regulated entities believe that they can prevent Shipping Act claims such as these from reaching decisions on the merits simply by stonewalling on discovery, a fee award here would dispel any such belief.

D. An Award of Attorneys’ Fees and Costs to Complainant in This Action Is Necessary to Ensure Just Compensation.

An award is also necessary here to compensate Complainant for the substantial, and in large part punitive, attorneys’ fees and out-of-pocket costs that it has had to incur as a result of bringing its Shipping Act claims in this action. As detailed below, the time reasonably expended by Complainant’s counsel in preparing and litigating this action, including the extended sequence of events leading to the decision on default against Respondent as well as Respondent’s repeated and unsuccessful petitions for review by the Commission and the D.C. Circuit, yielded total fees approximately equaling the award of reparations in this action (not counting interest awarded or the additional fees incurred preparing this Petition). Complainant also had to incur out-of-pocket expenses, including the cost of translating the Hague Evidence Convention Letter of Request urged by Respondent and supporting materials.

Additionally, as the Commission will recall, after losing on the motion to compel and its motion to dismiss Complainant’s Shipping Act claims, Respondent responded by initiating a retaliatory arbitration against Complainant before the Society of Maritime Arbitrators seeking,

inter alia, liquidated damages from Complainant ***in connection with the very same service contracts at issue in this action***. See, e.g., Dkt. No. 66 at 25–26, 43–44; Dkt. No. 77 at 17, 19. In other words, after costing Complainant hundreds of thousands of dollars in excess shipping costs by systematically failing to provide cargo space and demanding extracontractual surcharges, and costing Complainant thousands more in attorneys’ fees litigating ***this*** action, Respondent sought to punish Complainant further for bringing this action by brazenly seeking to force Complainant to pay ***Respondent*** for the very cargo space that Respondent failed to provide to Complainant and, in the process, force Complainant to incur ***additional*** attorneys’ fees defending that arbitration and litigating its own counterclaims in that proceeding. Respondent’s retaliatory motive in initiating that arbitration, which currently is pending the issuance of a final award, is perhaps best demonstrated by the fact that although Respondent only ultimately claimed to be seeking \$184,250 in liquidated damages, it ran up ***over \$2 million in legal fees and costs*** in that arbitration, which it is requesting the arbitral panel to shift to Complainant (along with the panel’s own fees and the costs of the arbitration) in the final award. Reynolds Decl. ¶¶ 21–22. Complainant, by contrast, is seeking \$1,232,411.71 in damages on its counterclaims (of which \$1,152,677 stem from the same shipping years at issue in this action), as well as shifting the \$821,102.34 in attorneys’ fees and costs that Complainant incurred in litigating the arbitration (and the panel’s fees and the costs of the arbitration). *Id.* ¶¶ 23–24. None of Complainant’s time entries or costs and expenses incurred in connection with that arbitration are being claimed in this Petition, and vice versa. *Id.* ¶ 25. Forcing Complainant to fight this two-front war thus creates the possibility of a pyrrhic victory for Complainant, in which its total recovery in this action could be eclipsed entirely by an adverse decision shifting attorneys’ fees in the parallel arbitration. Such an outcome would undermine the very protections of the Shipping Act that Complainant properly sought to vindicate

in this action and the efficacy of the remedies that the Shipping Act provides to aggrieved shippers such as Complainant. An award of Complainant’s attorneys’ fees and costs in *this* action would help insure against such an outcome and preserve the compensatory purpose of the reparations awarded in this action.

III. Complainant’s Costs and Attorneys’ Fees Incurred in Connection with This Action.

As detailed in the Reynolds Declaration and its exhibits filed in support of this Petition, Huth Reynolds LLP (“HR LLP”) has represented MCS Industries since before the inception of this action through the present. HR LLP maintained separate time records for its work in connection with this action, which are included as Exhibit 2 to the Reynolds Declaration.² Pursuant to 46 C.F.R. Section 502.254(d)(ii), the table below specifies the number of hours claimed by each person representing the prevailing party at each identifiable stage of this action:

HR LLP Timekeeper	Title/Role	Stage 1³	Stage 2⁴	Stage 3⁵	Stage 4⁶	Total Hours
Matthew Reynolds	Partner	246.7	140.2	73.4	44.9	505.2
Karl Huth	Partner	74.2	57.5	28.9	10.3	170.9
William Falsey	Former Partner (formerly Senior Counsel)		0.8	0.5		1.3
Sara Wilcox	Former Senior Counsel	123.8	65.3	2.3		191.4
James Fribley	Counsel (formerly Associate)	57.8	9.4	4.5	1.5	73.2
Luke Rushing	Counsel (formerly Associate)		63.5	27.7	2.0	93.2
Lee Hill	Counsel (formerly Associate)				7.8	7.8
Jie Shi	Associate				7.9	7.9
Edward Vasquez	Of Counsel (discovery counsel)	8.1				8.1

² HR LLP has omitted from Exhibit 2 time entries relating, *inter alia*, principally to its litigation against, and subsequent confidential settlement with, the other (former) respondent in this action and has redacted time entry narratives containing attorney-client privileged, attorney work product, and/or compromise/settlement-related content.

³ Stage 1 runs from the inception of this matter in early July 2021 to the Presiding Officer’s December 8, 2021 Order Granting Motion to Compel.

⁴ Stage 2 runs from December 9, 2021 to the Presiding Officer’s Initial Decision on Default.

⁵ Stage 3 runs from January 14, 2023 to the Commission’s Order Affirming Initial Decision on Remand.

⁶ Stage 4 runs from July 17, 2024 through the D.C. Circuit’s Opinion and *Per Curiam* Order.

HR LLP Timekeeper	Title/Role	Stage 1³	Stage 2⁴	Stage 3⁵	Stage 4⁶	Total Hours
Samuel Lowry	Analyst (non-attorney)			15.4		15.4
Grand Total Hours Recorded:						1,074.4

As reflected in Exhibit 2, this Petition encompasses a total of 1,074.4 hours and associated hourly fees totaling \$827,197.50. The amount of hours spent on this action, though substantial, is reasonable and not excessive given that:

- it was a novel, complex litigation of statutory claims for which little precedent previously existed, and which has been followed by numerous similar actions;⁷
- it involved extensive documentary and written discovery, as demonstrated by Complainant's successful motion to compel, as well as depositions of two of Complainant's personnel and preparations for other depositions that were postponed; *see, e.g.*, Dkt. No. 34 at 15 n.6;
- it involved discovery requests to non-parties, including non-parties based overseas, as well as discovery requests pursuant to the Hague Evidence Convention; *see, e.g.* Dkt. No. 35 at 3, 6, Dkt. No. 44;
- it involved (as discussed above) considerable motion practice, including a motion to dismiss, a motion for leave to file an amended complaint, a motion to compel discovery, motions relating to foreign discovery processes, and responses to an order to show cause;
- it entailed (as also discussed above) analysis and briefing on matters of foreign law;
- it resulted in two lengthy, substantive decisions by the Presiding Officer, *see* Dkt. Nos. 64, 75, to both of which Respondent filed extensive exceptions, necessitating further detailed briefing, *see* Dkt. Nos. 65–66, 76–77; and

⁷ *See OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11; *Foreign Tire Sales, Inc. v. Evergreen Shipping Agency (America) Corp.*, FMC Dkt. No. 22-05; *Royal White Cement, Inc. v. CMA CGM S.A.*, FMC Dkt. No. 22-06; *Achim Importing Co. Inc. v. Yang Ming Marine Transp. Corp.*, FMC Dkt. No. 22-08; *MSRF Inc. v. HMM Co. Ltd.*, FMC Dkt. No. 22-20; *MSRF Inc. v. Yang Ming Transp. Corp.*, FMC Dkt. No. 22-21; *U Shippers Grp. Inc. v. Maersk A/S dba Maersk*, FMC Dkt. No. 22-22; *20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd.*, FMC Dkt. No. 23-02; *CertiFit, Inc. v. Evergreen Shipping Agency (America) Corp.*, FMC Dkt. No. 23-03; *Bed Bath & Beyond Inc. v. Yang Ming Marine Transp. Corp.*, FMC Dkt. No. 23-10; *20230930-DK-BUTTERFLY-1, Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. 23-12; *20230930-DK-BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Evergreen Line Joint Serv. Agr. (FMC #011982)*, FMC Dkt. No. 24-12; *PKDC, LLC v. CMA CGM S.A.*, FMC Dkt. No. 24-21; *Nielsen & Bainbridge LLC v. Ocean Network Express Pte. Ltd.*, FMC Dkt. No. 25-02; *Euromarket Designs, Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 25-03; *QVC, Inc. v. Ocean Network Express Pte. Ltd.*, FMC Dkt. 25-09, *Dollar Gen. Logistics, LLC v. Yang Ming Marine Transp. Corp.*, FMC Dkt. No. 25-12.

- it involved petitions for review to the D.C. Circuit, in which Complainant intervened as of right given its interest in the award of reparations and interest to it. *See* Dkt. Nos. 80–82; *MSC Mediterranean Shipping Co. S.A. v. FMC*, Nos. 24-1007 & 24-1262 (D.C. Cir.).

Similarly, HR LLP’s hourly rates reflected in Exhibit 2, which have now spanned five consecutive calendar years and ranged from \$875 to \$1,290 for partners, from \$580 to \$675 for senior counsel, from \$335 to \$730 for associates, \$290 for of counsel, and \$210 for analysts, are reasonable and not excessive given the complexities of this action discussed above, the experience of Complainant’s counsel, the size and sophistication of opposing counsel, and hourly rates approved by courts in recent years in complex commercial litigations. *See, e.g., China AI Cap. Ltd. v. DLA Piper LLP (US)*, No. 21-CV-10911 (VM) (VF), 2025 WL 2466633, at *5–6 (S.D.N.Y. May 22, 2025) (stating that “an attorney’s customary billing rate for fee-paying clients is ordinarily the best evidence of a reasonable hourly rate” and finding “reasonable” hourly rates of \$1,408 for a partner, \$875 for a senior associate, and \$550 to \$700 for mid-level associate attorneys) (internal citation omitted); *see also ATX Debt Fund 1, LLC v. Paul*, No. 19-CV-8540 (JPO), 2024 WL 2093387, at *5–6 (S.D.N.Y. May 9, 2024) (awarding hourly rates of \$1,381.50 to \$1,777.50 for partner and \$697.50 to \$1,138.50 for associate after applying a 10% reduction to the requested hourly rates of \$1,535 to \$1,975 for partners and \$775 to \$1,265 for associates); *An v. Despins*, No. 22-CV-10062 (VEC) (JW), 2024 WL 1157281, at *2–5 (S.D.N.Y. Mar. 18, 2024) (concluding that \$1,592 to \$1,760 was a reasonable hourly rate for a senior partner); *Syntel Sterling Best Shores Mauritius Ltd. v. TriZetto Grp., Inc.*, No. 15-CV-211 (LGS), 2024 WL 1116090, at *6 (S.D.N.Y. Mar. 13, 2024) (noting that hourly rate of \$1,765 for lead attorneys is reasonable “given the rates typically charged for similar services by lawyers of comparable skill, expertise and reputation in this market”); *Laba v. JBO Worldwide Supply Pty Ltd*, No. 20-CV-3443 (AKH) (KHP), 2023 WL 4985290, at *14 (S.D.N.Y. July 19, 2023), *adopted*, 2024 WL 550252 (S.D.N.Y. Feb. 12, 2024), *aff’d*, 2025 WL 323762 (2d Cir. Jan. 29, 2025) (approving partner rate of \$1,250 an hour).

HR LLP’s historical hourly rates also compare favorably to those set forth in the “Laffey Matrix”,⁸ which the Commission has explicitly endorsed and applied to determine the reasonableness of attorney hourly rates when awarding fees pursuant to 46 U.S.C. Section 41305(e). *See Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, FMC Dkt. No. 14-04, 2016 WL 5110081, at *8–9 (FMC Sept. 14, 2016) (“The Updated Laffey Matrix has been relied upon by the Commission and courts to determine reasonable attorney fees . . . and has been upheld as a valid method to determine reasonable attorney fees in the District of Columbia.”) (internal citations omitted). Indeed, HR LLP’s hourly rates for its senior counsel, associates, of counsel, and analysts from 2021 through 2024 (when the vast majority of the work on this action was done) were *below* the corresponding Laffey Matrix rates, with its partner rates exceeding the corresponding Laffey Matrix rates only modestly. *See also, e.g., Sanchez v. Ultimo, LLC*, No. 19-CV-3188-MJS, 2025 WL 1024970, at *2–5 (D.D.C. Apr. 7, 2025) (awarding attorneys’ fees to prevailing party at “reasonable” hourly rates of \$948 to \$1,148 based on the Laffey Matrix).

As further detailed in Reynolds Declaration Exhibit 2 and the selected invoices collected in Reynolds Declaration Exhibit 3, Complainant also incurred the following out-of-pocket costs in connection with litigating this action (including Respondent’s petitions for review to the D.C. Circuit):

Date	Expense	Amount
7/28/2021	Filing fee for Federal Maritime Commission complaint.	\$288.00
11/8/2021	Process server for non-party subpoenas (Shandong Smart and Qingdao Jet).	\$454.22
11/19/2021	Process server for non-party subpoena (PENAVICO).	\$98.00
11/19/2021	Process server for non-party subpoena (Expeditors).	\$105.00

⁸ Available at <http://www.laffeymatrix.com/see.html>.

Date	Expense	Amount
11/29/2021	Non-refundable engagement retainer for expert Mohawk Global Trade Advisors (Rich Roche).	\$5,000.00
12/1/2021	Master deposition transcript.	\$1,061.60
12/28/2021	Schantzenbach deposition transcript.	\$1,129.85
5/26/2022	TransPerfect invoice 2504906 for translation of Hague Evidence Convention Letter of Request materials.	\$4,178.19
5/27/2022	Postage cost for shipping Letter of Request to Switzerland.	\$135.55
7/13/2022	TransPerfect invoice 2549703 for translation of Hague Evidence Convention Letter of Request materials.	\$218.75
4/4/2025	Hotel costs for D.C. Circuit oral argument.	\$484.64
4/4/2025	Lyft rides to and from D.C. Circuit courthouse for oral argument.	\$49.75
4/4/2025	Printing costs for D.C. Circuit oral argument.	\$15.57
Total:		\$13,219.12

Each of the above costs was necessary and appropriate. Respondent's failure to comply with its discovery obligations under the Rules and Complainant's discovery requests necessitated the subpoenas that the Presiding Officer issued to non-parties (and that Complainant served at its expense), and until Respondent derailed this action by refusing to comply with the Presiding Officer's Order Granting Motion to Compel, the Presiding Officer's Scheduling Order contemplated disclosure of initial expert reports on December 20, 2021, *see* Dkt. No. 15 at 1, thus necessitating Complainant's engagement of an expert witness in November 2021. Two of Complainant's personnel gave deposition testimony in the action, for which transcripts had to be ordered, and as noted above, due to Respondent's insistence on using a Hague Evidence Convention Letter of Request, Complainant had to have that letter and its accompanying materials

(as well as subsequent correspondence from the Swiss authorities), translated and mailed to the Swiss authorities at Complainant's expense. Accordingly, as the prevailing party, and in the interest of being made whole for the costs it incurred in litigating this action, Complainant requests that award pursuant to this Petition include reimbursement of these costs.

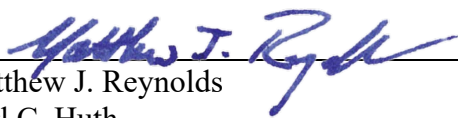
IV. Conclusion

For the reasons stated herein, in the accompanying Reynolds Declaration and its exhibits, in Complainant's prior filings in this action, and in the orders of the Presiding Officer, the Commission, and the D.C. Circuit in this action, Complainant respectfully requests pursuant to 46 U.S.C. Section 41305(e) and 46 C.F.R. Section 502.254 that the Commission grant this Petition and award Complainant \$827,197.50 in attorneys' fees and \$13,219.12 in costs from Respondent in addition to the \$861,706.50 in reparations, plus interest from July 31, 2021, previously awarded to Complainant from Respondent.

Dated: September 19, 2025

Respectfully submitted,

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Certificate of Service

I hereby certify that I have this day served the foregoing document, the accompanying Declaration of Matthew J. Reynolds, and the exhibits thereto upon Respondent MSC Mediterranean Shipping Company S.A. by emailing copies of those documents to its counsel of record listed below:

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Dated: September 19, 2025



Matthew J. Reynolds
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